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TECH

Apple Breaks Losing Streak, as Sales of iPhone 7 Shine

Tech giant's top line rises, ending a string of three straight quarters of decline, though margins are pressured

By Tripp Mickle

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The Apple store on New York's Fifth Avenue is pictured in December. The company reported quarterly earnings results on Tuesday. RICHARD B. LEVINE/ZUMA PRESS

Apple Inc. snapped out of three straight quarters of falling revenue as strong demand for the iPhone 7 raised investors' hopes that the technology giant is emerging from its roughest period since it reinvented the market for mobile devices.

Sales of the new smartphone model, which Apple unveiled in September, propelled total iPhone shipments 5% higher to a record during the three months through December. iPhones, which account for two-thirds of Apple's sales, helped boost total

revenue 3% to a record \$78.4 billion.

Apple's services business—which includes its App Store sales and its music and payments services—continued to boom. Revenue in that segment jumped 18% from a year ago to \$7.2 billion, making it bigger than many large companies. It had nearly three times the sales of Netflix Inc. during the same period.

Apple Chief Executive Tim Cook said in an interview he expects services revenue to double over the next four years.

“There's a lot to feel great about,” Mr. Cook said.

Apple's shares rose more than 3% after normal trading hours Tuesday to more than \$125 each. The stock is now only about 6% off its all-time closing high of \$133 reached in February 2015, after having fallen to about \$90 last May.

“If they're an eight-cylinder sports car, then they're firing on seven out of eight cylinders which is very, very impressive in the context of expectations,” said David Rolfe, chief investment officer at Wedgewood Partners Inc., a St. Louis firm that counts Apple as its largest holding.

Still, the results overall showed that Apple continues to struggle to regain the type of momentum that made it the world's most valuable company. The iPhone 7, while it helped results, didn't spark the double-digit increase in overall sales of iPhones that previous new models did in their first full quarter on the market. Unit shipments of the iPhone jumped 46% in the October-December quarter of 2014 after the launch of the iPhone 6, for example.

Apple's China business remains a soft spot, though it showed signs of stabilizing. Competition in that market, long a growth driver, has intensified and Apple lost market share to less expensive smartphones from local rivals like Oppo Electronics and Huawei Technologies Co.

Sales in Greater China, the world's largest smartphone market, fell 12% to \$16.2 billion in the quarter, Apple said. Executives blamed part of that on currency effects and pointed to positives such as services sales.

"I'm encouraged with the significant improvement but we're not without challenges there," Mr. Cook said on a conference call.

Mr. Cook, who used to run Apple's supply chain before taking the top job, acknowledged some operational missteps in the latest period that cost Apple additional sales. The company said several of its biggest products suffered from insufficient supply, including the Apple Watch, its new AirPods wireless earbuds and the iPhone 7 Plus. Demand for the larger, pricier version of its new smartphone was "the most we've ever seen by far and we under-called it," Mr. Cook said. "We clearly missed some sales because of that."

Profit in the quarter fell 2.6% to \$17.9 billion, or \$3.38 a share. Analysts surveyed by Thomson Reuters had expected earnings of \$3.22 a share and \$77.4 billion in revenue for the quarter.

Apple's gross margin, a closely watched measure of profitability, narrowed to 38.5% from 40.1% a year ago as new iPhone features like longer battery life and more memory increased costs. Over the past year, the company has pushed suppliers to cut component costs to protect margins as iPhone shipments stagnate. More recently, it filed lawsuits in the U.S. and China against Qualcomm Inc., challenging the chip makers' patent fees, which amount to as much as 5% of the average price of an iPhone. Qualcomm has called Apple's claims baseless.

The latest results follow one of Apple's poorest performances in years as it missed internal revenue goals in its latest fiscal year for the first time since at least 2009, leading to a pay cut for Mr. Cook.

Under Mr. Cook, Apple has quadrupled its research-and-development spending as it

looks to find new growth areas. The company is working on autonomous vehicles and hinted at its interest in augmented reality, but its secrecy makes it difficult to predict if or when products would debut that could ease reliance on the iPhone.

The modest increase in iPhone sales in the latest period came as Apple's biggest rival, Samsung Electronics Co., issued a recall for its Galaxy Note 7 after some caught fire. But sales of Samsung devices remained strong, particularly in the U.S., where they claimed a 29% share of smartphone sales in the quarter compared with Apple's 31% share, according to consumer-analytics firm Kantar Worldpanel.

Apple benefited from rising demand for the iPhone 7 Plus, which helped lift the iPhone's average-selling price in the latest period to a record \$695 from \$691 a year ago, the company said.

The willingness of customers to pay more for the 7 Plus offers encouragement for Apple, showing consumers will pay more for devices loaded with extras—in this case, a dual-camera system and additional random access memory. That is encouraging as Apple looks to set prices in the months ahead for its much-anticipated 10th anniversary iPhone later this year.

Apple said the total number of iPhone users increased by a double-digit percentage in the quarter. That statistic is closely watched by analysts because the estimated value of an iPhone customer in profit over the two-to-three-year lifespan of an iPhone is about \$1,000, said Abhey Lamba, senior technology analyst with Mizuho Securities. "There are very few people who switch away from iPhones," he added.

Write to Tripp Mickle at Tripp.Mickle@wsj.com

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Tripp Mickle covered Google and its parent company Alphabet for The Wall Street Journal. He previously served as the Journal's reporter on Apple, following a stint covering the alcohol and tobacco industries. Prior to joining the Journal, Tripp worked as a sportswriter at Sports Business Journal and Newsday. He is a graduate of Wake Forest...

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